

**SUBSTITUTE FOR
HOUSE BILL NO. 5710**

A bill to amend 1939 PA 3, entitled

"An act to provide for the regulation and control of public and certain private utilities and other services affected with a public interest within this state; to provide for alternative energy suppliers and certain providers of electric vehicle charging services; to provide for licensing; to include municipally owned utilities and other providers of energy under certain provisions of this act; to create a public service commission and to prescribe and define its powers and duties; to abolish the Michigan public utilities commission and to confer the powers and duties vested by law on the public service commission; to provide for the powers and duties of certain state governmental officers and entities; to provide for the continuance, transfer, and completion of certain matters and proceedings; to abolish automatic adjustment clauses; to prohibit certain rate increases without notice and hearing; to qualify residential energy conservation programs permitted under state law for certain federal exemption; to create a fund; to encourage the utilization of resource recovery facilities; to prohibit certain acts and practices of providers of energy; to



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allow for the securitization of stranded costs; to reduce rates; to provide for appeals; to provide appropriations; to declare the effect and purpose of this act; to prescribe remedies and penalties; and to repeal acts and parts of acts,"

by amending sections 6a, 6l, 6m, and 6t (MCL 460.6a, 460.6l, 460.6m, and 460.6t), sections 6a, 6m, and 6t as amended by 2023 PA 231 and section 6l as amended by 2016 PA 341; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 6a. (1) A gas utility, electric utility, or steam utility
2 shall not increase its rates and charges or alter, change, or amend
3 any rate or rate schedules, the effect of which will be to increase
4 the cost of services to its customers, without first receiving
5 commission approval as provided in this section. A utility shall
6 coordinate with the commission staff in advance of filing its
7 general rate case application under this section to avoid resource
8 challenges with applications being filed at the same time as
9 applications filed under this section by other utilities. In the
10 case of electric utilities serving more than 1,000,000 customers in
11 this state, the commission may, if necessary, order a delay in
12 filing an application to establish a 21-day spacing between filings
13 of electric utilities serving more than 1,000,000 customers in this
14 state. The utility shall place in evidence facts relied upon to
15 support the utility's petition or application to increase its rates
16 and charges, or to alter, change, or amend any rate or rate
17 schedules. The commission shall require notice to be given to all
18 interested parties ~~within~~**in** the service area to be affected, and
19 allow interested parties a reasonable opportunity for a full and
20 complete hearing. A utility may use projected costs and revenues
21 for a future consecutive 12-month period in developing its



1 requested rates and charges. The commission shall notify the
2 utility ~~within-not later than~~ 30 days after filing, whether the
3 utility's petition or application is complete. A petition or
4 application is considered complete if it complies with the rate
5 application filing forms and instructions adopted under subsection
6 (8). If the application is not complete, the commission shall
7 notify the utility of all information necessary to make that filing
8 complete. If the commission has not notified the utility within 30
9 days of whether the utility's petition or application is complete,
10 the application is considered complete. Concurrently with filing a
11 complete application, or at any time after filing a complete
12 application, a gas utility serving fewer than 1,000,000 customers
13 in this state may file a motion seeking partial and immediate rate
14 relief. After providing notice to the interested parties ~~within-in~~
15 the service area to be affected and affording interested parties a
16 reasonable opportunity to present written evidence and written
17 arguments relevant to the motion seeking partial and immediate rate
18 relief, the commission shall make a finding and enter an order
19 granting or denying partial and immediate relief ~~within-not later~~
20 **than** 180 days after the motion seeking partial and immediate rate
21 relief was submitted. The commission has 12 months to issue a final
22 order in a case in which a gas utility has filed a motion seeking
23 partial and immediate rate relief.

24 (2) If the commission has not issued an order within 180 days
25 after the filing of a complete application, the utility may
26 implement up to the amount of the proposed annual rate request
27 through equal percentage increases or decreases applied to all base
28 rates. If the utility uses projected costs and revenues for a
29 future period in developing its requested rates and charges, the



utility may not implement the equal percentage increases or decreases before the calendar date corresponding to the start of the projected 12-month period. For good cause, the commission may issue a temporary order preventing or delaying a utility from implementing its proposed rates or charges. If a utility implements increased rates or charges under this subsection before the commission issues a final order, that utility shall refund to customers, with interest, any portion of the total revenues collected through application of the equal percentage increase that exceed the total that would have been produced by the rates or charges subsequently ordered by the commission in its final order. The commission shall allocate any refund required by this subsection among primary customers based ~~upon~~**on** their pro rata share of the total revenue collected through the applicable increase, and among secondary and residential customers in a manner to be determined by the commission. The rate of interest for refunds is 5% plus the London interbank offered rate (LIBOR) for the appropriate time period. For any portion of the refund that, exclusive of interest, exceeds 25% of the annual revenue increase awarded by the commission in its final order, the rate of interest is the authorized rate of return on the common stock of the utility during the appropriate period. Any refund or interest awarded under this subsection must not be included, in whole or in part, in any application for a rate increase by a utility. This subsection only applies to completed applications filed with the commission before April 20, 2017.

(3) This section does not impair the commission's ability to issue a show cause order as part of its rate-making authority. An alteration or amendment in rates or rate schedules applied for by a



1 public utility that will not result in an increase in the cost of
2 service to its customers may be authorized and approved without
3 notice or hearing. There shall be no increase in rates based upon
4 changes in cost of fuel, purchased gas, or purchased steam unless
5 notice has been given ~~within~~**in** the service area to be affected,
6 and there has been an opportunity for a full and complete hearing
7 on the cost of fuel, purchased gas, or purchased steam. The rates
8 charged by any utility under an automatic fuel, purchased gas, or
9 purchased steam adjustment clause ~~shall~~**must** not be altered,
10 changed, or amended unless notice has been given ~~within~~**in** the
11 service area to be affected, and there has been an opportunity for
12 a full and complete hearing on the cost of the fuel, purchased gas,
13 or purchased steam.

14 (4) The commission shall adopt rules and procedures for the
15 filing, investigation, and hearing of petitions or applications to
16 increase or decrease utility rates and charges as the commission
17 finds necessary or appropriate to enable it to reach a final
18 decision with respect to petitions or applications within a period
19 of time allotted by law to issue a final order after the filing of
20 the complete petitions or applications. The commission shall not
21 authorize or approve adjustment clauses that operate without notice
22 and an opportunity for a full and complete hearing, and all such
23 clauses are abolished. The commission may hold a full and complete
24 hearing to determine the cost of fuel, purchased gas, purchased
25 steam, or purchased power separately from a full and complete
26 hearing on a general rate case and may hold that hearing
27 concurrently with the general rate case. The commission shall
28 authorize a utility to recover the cost of fuel, purchased gas,
29 purchased steam, or purchased power only to the extent that the



1 purchases are reasonable and prudent.

2 (5) Except as otherwise provided in this subsection and
3 subsection (1), if the commission fails to reach a final decision
4 with respect to a completed petition or application to increase or
5 decrease utility rates within the 10-month period following the
6 filing of the completed petition or application, the petition or
7 application is considered approved. If a utility makes any
8 significant amendment to its filing, the commission has an
9 additional 10 months after the date of the amendment to reach a
10 final decision on the petition or application. If the utility files
11 for an extension of time, the commission shall extend the 10-month
12 period by the amount of additional time requested by the utility.

13 (6) A utility shall not file a general rate case application
14 for an increase in rates earlier than 12 months after the date of
15 the filing of a complete prior general rate case application. A
16 utility may not file a new general rate case application until the
17 commission has issued a final order on a prior general rate case or
18 until the rates are approved under subsection (5).

19 (7) The commission shall, if requested by a gas utility,
20 establish load retention transportation rate schedules or approve
21 gas transportation contracts as required for the purpose of serving
22 industrial or commercial customers whose individual annual
23 transportation volumes exceed 500,000 decatherms on the gas
24 utility's system. The commission shall approve these rate schedules
25 or approve transportation contracts entered into by the utility in
26 good faith if the industrial or commercial customer has the
27 installed capability to use an alternative fuel or otherwise has a
28 viable alternative to receiving natural gas transportation service
29 from the utility, the customer can obtain the alternative fuel or



1 gas transportation from an alternative source at a price that would
2 cause them not to use the gas utility's system, and the customer,
3 as a result of their use of the system and receipt of
4 transportation service, makes a significant contribution to the
5 utility's fixed costs. The commission shall adopt accounting and
6 rate-making policies to ensure that the discounts associated with
7 the transportation rate schedules and contracts are recovered by
8 the gas utility through charges applicable to other customers if
9 the incremental costs related to the discounts are no greater than
10 the costs that would be passed on to those customers as the result
11 of a loss of the industrial or commercial customer's contribution
12 to a utility's fixed costs.

13 (8) The commission shall adopt standard rate application
14 filing forms and instructions for use in all general rate cases
15 filed by utilities whose rates are regulated by the commission. For
16 cooperative electric utilities whose rates are regulated by the
17 commission, in addition to rate applications filed under this
18 section, the commission shall continue to allow for rate filings
19 based on the cooperative's times interest earned ratio. The
20 commission may modify the standard rate application forms and
21 instructions adopted under this subsection.

22 (9) If, on or before January 1, 2008, a merchant plant entered
23 into a contract with an initial term of 20 years or more to sell
24 electricity to an electric utility whose rates are regulated by the
25 commission with 1,000,000 or more retail customers in this state
26 and if, before January 1, 2008, the merchant plant generated
27 electricity under that contract, in whole or in part, from wood or
28 solid wood wastes, then the merchant plant shall, ~~upon~~**on** petition
29 by the merchant plant, and subject to the limitation set forth in



1 subsection (10), recover the amount, if any, by which the merchant
2 plant's reasonably and prudently incurred actual fuel and variable
3 operation and maintenance costs exceed the amount that the merchant
4 plant is paid under the contract for those costs. This subsection
5 does not apply to landfill gas plants, hydro plants, municipal
6 solid waste plants, or to merchant plants engaged in litigation
7 against an electric utility seeking higher payments for power
8 delivered pursuant to contract.

9 (10) The total aggregate additional amounts recoverable by
10 merchant plants under subsection (9) in excess of the amounts paid
11 under the contracts must not exceed \$1,000,000.00 per month for
12 each affected electric utility. The \$1,000,000.00 per month limit
13 specified in this subsection must be reviewed by the commission
14 ~~upon~~**on** petition of the merchant plant filed no more than once per
15 year and may be adjusted if the commission finds that the eligible
16 merchant plants reasonably and prudently incurred actual fuel and
17 variable operation and maintenance costs exceed the amount that
18 those merchant plants are paid under the contract by more than
19 \$1,000,000.00 per month. The annual amount of the adjustments must
20 not exceed a rate equal to the United States Consumer Price Index.
21 The commission shall not make an adjustment unless each affected
22 merchant plant files a petition with the commission. If the total
23 aggregate amount by which the eligible merchant plants reasonably
24 and prudently incurred actual fuel and variable operation and
25 maintenance costs determined by the commission exceed the amount
26 that the merchant plants are paid under the contract by more than
27 \$1,000,000.00 per month, the commission shall allocate the
28 additional \$1,000,000.00 per month payment among the eligible
29 merchant plants based ~~upon~~**on** the relationship of excess costs



1 among the eligible merchant plants. The \$1,000,000.00 limit
 2 specified in this subsection, as adjusted, does not apply to actual
 3 fuel and variable operation and maintenance costs that are incurred
 4 due to changes in federal or state environmental laws or
 5 regulations that are implemented after October 6, 2008. The
 6 \$1,000,000.00 per month payment limit under this subsection does
 7 not apply to merchant plants eligible under subsection (9) whose
 8 electricity is purchased by a utility that is using wood or wood
 9 waste or fuels derived from those materials for fuel in ~~their~~**its**
 10 power plants. As used in this subsection, "United States Consumer
 11 Price Index" means the United States Consumer Price Index for all
 12 urban consumers as defined and reported by the United States
 13 Department of Labor, Bureau of Labor Statistics.

14 (11) The commission shall issue orders to permit the recovery
 15 authorized under subsections (9) and (10) ~~upon~~**on** petition of the
 16 merchant plant. The merchant plant is not required to alter or
 17 amend the existing contract with the electric utility ~~in order to~~
 18 obtain the recovery under subsections (9) and (10). The commission
 19 shall permit or require the electric utility whose rates are
 20 regulated by the commission to recover from its ratepayers all fuel
 21 and variable operation and maintenance costs that the electric
 22 utility is required to pay to the merchant plant as reasonably and
 23 prudently incurred costs.

24 ~~(12) Subject to subsection (13), if requested by an electric~~
 25 ~~utility with less than 200,000 customers in this state, the~~
 26 ~~commission shall approve an appropriate revenue decoupling~~
 27 ~~mechanism that adjusts for decreases in actual sales compared to~~
 28 ~~the projected levels used in that utility's most recent rate case~~
 29 ~~that are the result of implemented energy waste reduction,~~



~~conservation, demand-side programs, and other waste reduction measures, if the utility first demonstrates the following to the commission:~~

~~(a) That the projected sales forecast in the utility's most recent rate case is reasonable.~~

~~(b) That the electric utility has achieved annual incremental energy savings at least equal to the lesser of the following:~~

~~(i) The incremental energy savings requirement of section 77(1) of the clean and renewable energy and energy waste reduction act, 2008 PA 295, MCL 460.1077.~~

~~(ii) The amount of any incremental savings yielded by energy waste reduction, conservation, demand-side programs, and other waste reduction measures approved by the commission in that utility's most recent integrated resource plan.~~

(12) ~~(13)~~ The commission shall consider the aggregate revenues attributable to revenue decoupling mechanisms, financial incentives, and shared savings mechanisms the commission has approved for an electric utility relative to energy waste reduction, conservation, demand-side programs, peak load reduction, and other waste reduction measures. The commission may approve an alternative methodology for a revenue decoupling mechanism ~~authorized under subsection (12) or a financial incentive authorized under section 75 of the clean and renewable energy and energy waste reduction act, 2008 PA 295, MCL 460.1075,~~ if the commission determines that the resulting aggregate revenues from those mechanisms would not result in a reasonable and cost-effective method to ensure that investments in energy waste reduction, demand-side programs, peak load reduction, and other waste reduction measures are not disfavored when compared to

1 utility supply-side investments. The commission's consideration of
 2 an alternative methodology under this subsection must be conducted
 3 as a contested case in accordance with chapter 4 of the
 4 administrative procedures act of 1969, 1969 PA 306, MCL 24.271 to
 5 24.288.

6 **(13)** ~~(14)~~ By April 20, 2018, the commission shall conduct a
 7 study on an appropriate tariff reflecting equitable cost of service
 8 for utility revenue requirements for customers who participate in a
 9 net metering program or distributed generation program under the
 10 clean and renewable energy and energy waste reduction act, 2008 PA
 11 295, MCL 460.1001 to ~~460.1211~~. **460.1232**. In any rate case filed
 12 after June 1, 2018, the commission shall ~~, subject to section~~
 13 ~~173(7) of the clean and renewable energy and energy waste reduction~~
 14 ~~act, 2008 PA 295, MCL 460.1173,~~ approve such a tariff for inclusion
 15 in the rates of all customers participating in a net metering or
 16 distributed generation program under the clean and renewable energy
 17 and energy waste reduction act, 2008 PA 295, MCL 460.1001 to
 18 ~~460.1211~~. **460.1232**. A tariff established under this subsection does
 19 not apply to customers participating in a net metering program
 20 under the clean and renewable energy and energy waste reduction
 21 act, 2008 PA 295, MCL 460.1001 to ~~460.1211~~, **460.1232**, before the
 22 date that the commission establishes a tariff under this
 23 subsection, who continues to participate in the program at their
 24 current site or facility.

25 **(14)** ~~(15)~~ Except as otherwise provided in this act, "utility"
 26 and "electric utility" do not include a municipally owned electric
 27 utility.

28 **(15)** ~~(16)~~ As used in this section:

29 (a) "Full and complete hearing" means a hearing that provides



1 interested parties a reasonable opportunity to present and cross-
2 examine evidence and present arguments relevant to the specific
3 element or elements of the request that are the subject of the
4 hearing.

5 (b) "General rate case" means a proceeding initiated by a
6 utility in an application filed with the commission that alleges a
7 revenue deficiency and requests an increase in the schedule of
8 rates or charges based on the utility's total cost of providing
9 service.

10 (c) "Steam utility" means a steam distribution company
11 regulated by the commission.

12 Sec. 6l. (1) For purposes of implementing sections 6a, 6h, 6j,
13 6s, and 6t, this section and section 6m provide a means of insuring
14 equitable representation of the interests of energy utility
15 customers.

16 (2) As used in this section and section 6m:

17 (a) "Annual receipts" means the payments received by the fund
18 under section 6m(2) (a) ~~, and~~ (b) ~~, (c), and (d)~~ during a calendar
19 year.

20 (b) "Board" means the utility consumer participation board
21 created under subsection (3).

22 (c) "Commission" means the Michigan public service commission.

23 (d) "Department" means the department of licensing and
24 regulatory affairs.

25 (e) "Energy cost recovery proceeding" means any proceeding to
26 establish or implement a gas cost recovery clause or a power supply
27 cost recovery clause as provided in section 6h or 6j, to set gas
28 cost recovery factors under section 6h(17), or to set power supply
29 cost recovery factors under section 6j(18).



(f) "Energy utility" means each electric or gas company regulated by the commission.

(g) "Fund" means the utility consumer representation fund created in section 6m.

(h) "Household" means a single-family home, duplex, mobile home, seasonal dwelling, farm home, cooperative, condominium, or apartment that has normal household facilities such as a bathroom, individual cooking facilities, and kitchen sink facilities.

Household does not include a penal or corrective institution, or a motel, hotel, or other similar structure if used as a transient dwelling.

(i) "Jurisdictional" means subject to rate regulation by the commission.

~~(j) "Net grant proceeds" means the annual receipts of the fund less the amounts reserved for the attorney general's use and the amounts expended for board expenses and operation.~~

(j) ~~(k)~~ "Residential energy utility consumer" or "consumer" means a customer of an energy utility who receives utility service for use within an individual household or an improvement reasonably appurtenant to and normally associated with an individual household.

(k) ~~(l)~~ "Residential tariff sales" means those sales by an energy utility that are subject to residential tariffs on file with the commission.

(l) ~~(m)~~ "Utility consuming industry" means a person, sole proprietorship, partnership, association, corporation, or other entity that receives utility service ordinarily and primarily for use in connection with the manufacture, sale, or distribution of goods or the provision of services, but does not include a



1 nonprofit organization representing residential utility customers.

2 (3) The utility consumer participation board is created ~~within~~
3 **in** the department and shall exercise its powers and duties under
4 this act independently of the department. The procurement and
5 related management functions of the board ~~shall~~**must** be performed
6 under the direction and supervision of the department. The board
7 ~~shall consist~~**consists** of 5 members appointed by the governor, 1 of
8 whom ~~shall~~**must** be chosen from 1 or more lists of qualified persons
9 submitted by the attorney general.

10 (4) For the purposes of subsection (5) only, "utility" means
11 an electric or gas company located in or outside of this state.

12 (5) Each member of the board shall meet the following
13 requirements:

14 (a) Shall be an advocate for the interests of residential
15 utility consumers, as demonstrated by the member's knowledge of and
16 support for consumer interests and concerns in general or
17 specifically related to utility matters.

18 (b) Shall not be, or shall not have been within the 5 years
19 preceding appointment, a member of a governing body of, or employed
20 in a managerial or professional or consulting capacity by a utility
21 or an association representing utilities; an enterprise or
22 professional practice that received over \$1,500.00 in the year
23 preceding the appointment as a supplier of goods or services to a
24 utility or association representing utilities; or an organization
25 representing employees of such a utility, association, enterprise,
26 or professional practice, or an association that represents such an
27 organization.

28 (c) Shall not have, or shall not have had within 1 year
29 preceding appointment, a financial interest exceeding \$1,500.00 in



1 a utility, an association representing utilities, or an enterprise
 2 or professional practice that received over \$1,500.00 in the year
 3 preceding the appointment as a supplier of goods or services to a
 4 utility or association representing utilities.

5 ~~(d) Shall not be an officer or director of an applicant for a~~
 6 ~~grant under section 6m.~~

7 **(d)** ~~(e)~~ Shall not be a member of the immediate family of an
 8 individual who would be ineligible under subdivision (a), (b), **or**
 9 (c). ~~, or (d).~~

10 (6) The members of the board ~~shall~~ **must** be appointed for 2-
 11 year terms beginning with the first day of a legislative session in
 12 an odd-numbered year and ending on the day before the first day of
 13 the legislative session in the next odd-numbered year or when the
 14 members' successors are appointed, whichever occurs later. The
 15 governor shall not appoint a member to the board for a term
 16 commencing after the governor's term of office has ended. A vacancy
 17 ~~shall~~ **must** be filled in the same manner as the original
 18 appointment. If the vacancy is created other than by expiration of
 19 a term, the member ~~shall~~ **must** be appointed for the balance of the
 20 unexpired term of the member to be succeeded.

21 (7) The governor shall remove a member of the board if that
 22 member is absent for any reason from either 3 consecutive board
 23 meetings or more than 50% of the meetings held by the board in a
 24 calendar year. However, an individual who is removed due to
 25 absenteeism is eligible for reappointment to fill a vacancy that
 26 occurs in the board membership. The governor also shall remove a
 27 member of the board if the member is subsequently determined to be
 28 ineligible under subsection (5).

29 (8) The board shall hold bimonthly meetings and additional



1 meetings as necessary. A quorum consists of 3 members. A majority
2 vote of the members appointed and serving is necessary for a
3 decision. At its first meeting following the appointment of new
4 members, or as soon as possible after the first meeting, the board
5 shall elect biennially from its membership a chairperson and a
6 vice-chairperson.

7 (9) The board shall not act directly to represent the
8 interests of residential utility consumers except through
9 administration of the fund and grant program under this section.

10 (10) The business that the board may perform ~~shall~~**must** be
11 conducted at a public meeting of the board held in compliance with
12 the open meetings act, 1976 PA 267, MCL 15.261 to 15.275. Public
13 notice of the time, date, and place of the meeting ~~shall~~**must** be
14 given in the manner required by the open meetings act, 1976 PA 267,
15 MCL 15.261 to 15.275.

16 (11) A writing prepared, owned, used, in the possession of, or
17 retained by the board in the performance of an official function
18 ~~shall~~**must** be made available to the public in compliance with the
19 freedom of information act, 1976 PA 442, MCL 15.231 to 15.246.

20 (12) A member of the board may be reimbursed for actual and
21 necessary expenses, including travel expenses to and from each
22 meeting held by the board, incurred in discharging the member's
23 duties under this section and section 6m. In addition to expense
24 reimbursement, a board member may receive remuneration from the
25 board of \$100.00 per meeting attended, not to exceed \$1,000.00 in a
26 calendar year. These limits shall be adjusted proportionately to an
27 adjustment in the remittance amounts under section 6m(4) to allow
28 for changes in the cost of living.

29 Sec. 6m. (1) The utility consumer representation fund is



1 created as a special fund. The state treasurer is the custodian of
 2 the fund and shall maintain a separate account of the money in the
 3 fund. The money in the fund must be invested in the bonds, notes,
 4 and other evidences of indebtedness issued or insured by the United
 5 States government and its agencies, and in prime commercial paper.
 6 The state treasurer shall release money from the fund, including
 7 interest earned, in the manner and at the time directed by the
 8 board.

9 (2) Except as provided in subsection (5), each energy utility
 10 that has applied to the commission for the initiation of an energy
 11 cost recovery proceeding shall remit to the fund before or ~~upon~~**on**
 12 filing its initial application for that proceeding, and on or
 13 before the first anniversary of that application, an amount of
 14 money determined by the board in the following manner:

15 (a) In the case of an energy utility company serving at least
 16 100,000 customers in this state, its proportional share of
 17 ~~\$1,800,000.00~~**\$2,500,000.00** adjusted annually by a factor as
 18 provided in subsection (4). This adjusted amount is the new base
 19 amount to which the factor provided in subsection (4) is applied in
 20 the succeeding year. A utility's proportional share must be
 21 calculated by dividing the company's jurisdictional total operating
 22 revenues for the preceding year, as stated in its annual report, by
 23 the total operating revenues for the preceding year of all energy
 24 utility companies serving at least 100,000 customers in this state.
 25 The board shall make this amount available for use by the attorney
 26 general for the purposes described in subsection (16).

27 ~~(b) In the case of an energy utility company serving at least~~
 28 ~~100,000 residential customers in this state, its proportional share~~
 29 ~~of \$2,000,000.00 adjusted annually by a factor as provided in~~



~~subsection (4). This adjusted amount is the new base amount to which the factor provided in subsection (4) is applied in the succeeding year. A utility's proportional share must be calculated by dividing the company's jurisdictional gross revenues from residential tariff sales for the preceding year by the gross revenues from residential tariff sales for the preceding year of all energy utility companies serving at least 100,000 residential customers in this state. This amount must be used for grants under subsection (10).~~

(b) ~~(c)~~ In the case of an energy utility company serving fewer than 100,000 customers in this state, its proportional share of ~~\$100,000.00~~ **\$150,000.00** adjusted annually by a factor as provided in subsection (4). This adjusted amount is the new base amount to which the factor provided in subsection (4) is applied in the succeeding year. A utility's proportional share must be calculated by dividing the company's jurisdictional total operating revenues for the preceding year, as stated in its annual report, by the total operating revenues for the preceding year of all energy utility companies serving fewer than 100,000 customers in this state. The board shall make this amount available for use by the attorney general for the purposes described in subsection (16).

~~(d) In the case of an energy utility company serving fewer than 100,000 residential customers in this state, its proportional share of \$100,000.00 adjusted annually by a factor as provided in subsection (4). This adjusted amount is the new base amount to which the factor provided in subsection (4) is applied in the succeeding year. A utility's proportional share must be calculated by dividing the company's jurisdictional gross revenues from residential tariff sales for the preceding year by the gross~~



~~revenues from residential tariff sales for the preceding year of all energy utility companies serving fewer than 100,000 residential customers in this state. This amount must be used for grants under subsection (10).~~

(3) Payments made by an energy utility under subsection (2) (a) or ~~(c)~~ **(b)** are operating expenses of the utility that the commission shall permit the utility to charge to its customers.

~~Payments made by a utility under subsection (2) (b) or (d) are operating expenses of the utility that the commission shall permit the utility to charge to its residential customers.~~

(4) For purposes of subsection (2), the board shall set the factor at a level not to exceed the percentage increase in the index known as the Consumer Price Index for urban wage earners and clerical workers, select areas, all items indexed, for the Detroit standard metropolitan statistical area, compiled by the Bureau of Labor Statistics of the United States Department of Labor, or any successor agency, that has occurred between January of the preceding year and January of the year in which the payment is required to be made. In the event that more than 1 such index is compiled, the index yielding the largest payment is the maximum allowable factor. The board shall advise utilities of the factor.

(5) The remittance requirements of this section do not apply to an energy utility organized as a cooperative corporation under sections 98 to 109 of 1931 PA 327, MCL 450.98 to 450.109. ~~, and grants from the fund must not be used to participate in an energy cost recovery proceeding primarily affecting such a utility.~~

(6) In the event of a dispute between the board and an energy utility about the amount of payment due, the utility shall pay the undisputed amount and, if the utility and the board cannot agree,



1 the board may initiate civil action in the circuit court for Ingham
 2 County for recovery of the disputed amount. The commission shall
 3 not accept or take action on an application for an energy cost
 4 recovery proceeding from an energy utility subject to this section
 5 that has not fully paid undisputed remittances required by this
 6 section.

7 (7) The commission shall not accept or take action on an
 8 application for an energy cost recovery proceeding from an energy
 9 utility subject to this section until 30 days after it has been
 10 notified by the board that the board ~~is ready to process grant~~
 11 ~~applications,~~ will transfer funds payable to the attorney general
 12 immediately ~~upon~~ **on** the receipt of those funds. ~~, and will within~~
 13 ~~30 days approve grants and remit funds to qualified grant~~
 14 ~~applicants.~~

15 (8) The board may accept a gift or grant from any source to be
 16 deposited in the fund if the conditions or purposes of the gift or
 17 grant are consistent with this section.

18 (9) The costs of operation and expenses incurred by the board
 19 in performing its duties under this section and section 6/,
 20 including remuneration to board members, must be paid from the
 21 fund. A maximum of 5% of the annual receipts of the fund may be
 22 budgeted and used to pay expenses. ~~other than grants made under~~
 23 ~~subsection (10).~~

24 ~~(10) The net grant proceeds must finance a grant program from~~
 25 ~~which the board may award to an applicant an amount that the board~~
 26 ~~determines shall be used for the purposes set forth in this~~
 27 ~~section.~~

28 ~~(11) The board shall create and make available to applicants~~
 29 ~~an application form. Each applicant shall indicate on the~~



~~application how the applicant meets the eligibility requirements provided for in this section and how the applicant proposes to use a grant from the fund to participate in 1 or more proceedings as authorized in subsection (16) that have been or are expected to be filed. Each applicant shall also identify on the application any additional funds or resources, other than the grant funds being requested, that are to be used to participate in the proceeding for which the grant is being requested and how those funds or resources will be utilized. The board shall receive an application requesting a grant from the fund only from a nonprofit organization or a unit of local government in this state. The board shall consider only applications for grants containing proposals that are consistent with subsections (16) and (17) and that serve the interests of residential utility consumers. The interest of residential consumers includes, but is not limited to, considerations of utility service in this state; the reduction of greenhouse gas emissions from the utility sector; and the protection of public health, equitable access to energy efficiency, weatherization, efficient electrification measures, programs and services, and clean energy technologies. For purposes of making grants, the board may consider energy conservation, energy waste reduction, demand response, and rate design options to encourage energy conservation, energy waste reduction, and demand response, as well as the maintenance of adequate energy resources. The board shall not consider an application that primarily benefits the applicant or a service provided or administered by the applicant. The board shall not consider an application from a nonprofit organization if 1 of the organization's principal interests or unifying principles is the welfare of a utility or its investors or employees, or the~~



~~welfare of 1 or more businesses or industries, other than farms not owned or operated by a corporation, that receive utility service ordinarily and primarily for use in connection with the profit-seeking manufacture, sale, or distribution of goods or services. Mere ownership of securities by a nonprofit organization or its members does not disqualify an application submitted by that organization.~~

~~(12) The board shall encourage grant making to nonprofits representing environmental justice communities and communities with the highest energy burdens. The board shall also encourage the interests of identifiable types of residential utility consumers whose interests may differ, including various social and economic classes and areas of the state, and if necessary, may make grants to more than 1 applicant whose applications are related to a similar issue to achieve this type of representation. In addition, the board shall consider and balance the following criteria in determining whether to make a grant to an applicant:~~

~~(a) Evidence of the applicant's competence, experience, and commitment to advancing the interests of residential utility consumers.~~

~~(b) The anticipated involvement of the attorney general in a proceeding and whether activities of the applicant will be duplicative or supplemental to those of the attorney general.~~

~~(c) In the case of a nongovernmental applicant, the extent to which the applicant is representative of or has a previous history of advocating the interests of citizens, especially residential utility consumers.~~

~~(d) The anticipated effect of the proposal contained in the application on residential utility consumers, including the~~



~~immediate and long term impacts of the proposal.~~

~~(e) Evidence demonstrating the potential for continuity of effort and the development of expertise in relation to the proposal contained in the application.~~

~~(f) The uniqueness or innovativeness of an applicant's position or point of view as it relates to advocating for residential utility consumers concerning energy costs or rates, and the probability and desirability of that position or point of view prevailing.~~

~~(13) As an alternative to choosing between 2 or more applications that have similar proposals, the board may invite 2 or more of the applicants to file jointly and award a grant to be managed cooperatively.~~

~~(14) The board shall make disbursements pursuant to a grant in advance of an applicant's proposed actions as set forth in the application if necessary to enable the applicant to initiate, continue, or complete the proposed actions.~~

~~(15) Any notice to utility customers and the general public of hearings or other state proceedings in which grants from the fund may be used must contain a notice of the availability of the fund and the address of the board.~~

(10) ~~(16)~~ The annual receipts and interest earned, less administrative costs, may be used only for participation in administrative and judicial proceedings under sections 6a, 6h, 6j, 6s, **and** 6t, 6w, and 10i, and the clean and renewable energy and energy waste reduction act, 2008 PA 295, MCL 460.1001 to 460.1211, and in federal administrative and judicial proceedings that directly affect the energy costs or rates paid by energy utility customers in this state. Amounts that have been in the fund more



1 than 12 months may be retained in the fund for future proceedings
2 and any unexpended money in the fund is reserved to fulfill the
3 purposes for which it was appropriated or may be returned to energy
4 utility companies or used to offset their future remittances in
5 proportion to their previous remittances to the fund, as the board
6 and attorney general determine will best serve the interests of
7 consumers.

8 ~~(17) The following conditions apply to all grants from the~~
9 ~~fund.~~

10 ~~(a) Disbursements from the fund may be used only to advocate~~
11 ~~the interests of residential energy utility customers concerning~~
12 ~~energy costs or rates and not for representation of merely~~
13 ~~individual interests.~~

14 ~~(b) The board shall attempt to maintain a reasonable~~
15 ~~relationship between the payments from a particular energy utility~~
16 ~~and the benefits to consumers of that utility.~~

17 ~~(c) The board shall coordinate the funded activities of grant~~
18 ~~recipients with those of the attorney general to avoid duplication~~
19 ~~of effort, particularly as it relates to the hiring of expert~~
20 ~~witnesses, to promote supplementation of effort, and to maximize~~
21 ~~the number of hearings and proceedings with intervenor~~
22 ~~participation.~~

23 ~~(18) A recipient of a grant under subsection (10) may use the~~
24 ~~grant only for the advancement of the proposed action approved by~~
25 ~~the board, including, but not limited to, costs of staff, hired~~
26 ~~consultants and counsel, and research.~~

27 ~~(19) A recipient of a grant under subsection (10) shall~~
28 ~~prepare for and participate in all discussions among the parties~~
29 ~~designed to facilitate settlement or narrowing of the contested~~



~~issues before a hearing in order to minimize litigation costs for all parties.~~

~~(20) A recipient of a grant under subsection (10) shall file a report with the board not later than 90 days following the end of the year or a shorter period for which the grant is made. The report must be made in a form prescribed by the board and is subject to audit by the board. The board shall include each report received under this subsection as part of the board's annual report required under subsection (22). The report under this subsection must include the following information:~~

~~(a) An account of all grant expenditures made by the grant recipient. Expenditures must be reported within the following categories:~~

~~(i) Employee and contract for services costs.~~

~~(ii) Costs of materials and supplies.~~

~~(iii) Filing fees and other costs required to effectively represent residential utility consumers as provided in this section.~~

~~(b) A detailed list of the regulatory issues raised by the grant recipient and how each issue was determined by the commission, court, or other tribunal.~~

~~(c) Any additional information concerning uses of the grant required by the board.~~

(11) ~~(21)~~ On or before July 1 of each year, the attorney general shall file a report with the house and senate committees on appropriations and the house and senate committees with jurisdiction over energy and utility policy issues. The report must include the following information:

(a) An account of all expenditures made by the attorney



1 general of money received under this section. Expenditures must be
2 reported in the following categories:

3 (i) Employee and contract for services costs.

4 (ii) Costs of materials and supplies.

5 (iii) Filing fees and other costs required to effectively
6 represent utility consumers as provided in this section.

7 (b) Any additional information concerning uses of the money
8 received under this section required by the committees.

9 **(12)** ~~(22)~~—On or before July 1 of each calendar year, the board
10 shall submit a detailed report to the house and senate committees
11 with jurisdiction over energy and utility policy issues regarding
12 the discharge of duties and responsibilities under this section and
13 section 6/ during the preceding calendar year.

14 Sec. 6t. (1) The commission shall, by August 31, 2025, and
15 every ~~4–5~~ years thereafter, commence a proceeding and, in
16 consultation with the department of environment, Great Lakes, and
17 energy, and other interested parties, do all of the following as
18 part of the proceeding:

19 ~~(a) Conduct an assessment of the potential for energy waste~~
20 ~~reduction in this state.~~

21 **(a)** ~~(b)~~—Conduct an assessment for the use of demand response
22 programs in this state, based on what is economically and
23 technologically feasible, as well as what is reasonably achievable.
24 The assessment must expressly account for advanced metering
25 infrastructure that has already been installed in this state and
26 seek to fully maximize potential benefits to ratepayers in lowering
27 utility bills.

28 **(b)** ~~(c)~~—Identify significant state or federal environmental
29 regulations, laws, or rules and how each regulation, law, or rule



1 would affect electric utilities in this state.

2 **(c)** ~~(d)~~ Identify any formally proposed state or federal
3 environmental regulation, law, or rule that has been published in
4 the Michigan Register or the Federal Register and how the proposed
5 regulation, law, or rule would affect electric utilities in this
6 state.

7 **(d)** ~~(e)~~ Identify any required planning reserve margins and
8 local clearing requirements in areas of this state.

9 **(e)** ~~(f)~~ Establish the modeling scenarios and assumptions each
10 electric utility should include in addition to its own scenarios
11 and assumptions in developing its integrated resource plan filed
12 under subsection (3), including, but not limited to, all of the
13 following:

14 (i) Any required planning reserve margins and local clearing
15 requirements.

16 (ii) All applicable state and federal environmental
17 regulations, laws, and rules identified in this subsection.

18 (iii) Any supply-side and demand-side resources that reasonably
19 could address any need for additional generation capacity,
20 including, but not limited to, the type of generation technology
21 for any proposed generation facility ~~, projected energy waste~~
22 ~~reduction savings, projected load impact due to electrification,~~
23 and projected load management and demand response savings.

24 (iv) Any regional infrastructure limitations in this state.

25 (v) The projected costs of different types of ~~technologies and~~
26 fuel used for electric generation.

27 **(f)** ~~(g)~~ Allow other state agencies to provide input regarding
28 any other regulatory requirements that should be included in
29 modeling scenarios or assumptions.



1 **(g)** ~~(h)~~ Publish a copy of the proposed modeling scenarios and
 2 assumptions to be used in integrated resource plans on the
 3 commission's website.

4 **(h)** ~~(i)~~ Before issuing the final modeling scenarios and
 5 assumptions each electric utility should include in developing its
 6 integrated resource plan, receive written comments and hold
 7 hearings to solicit public input regarding the proposed modeling
 8 scenarios and assumptions.

9 ~~(j) Conduct an assessment of the potential for electrification~~
 10 ~~of transportation, buildings, and industries consistent with~~
 11 ~~economy-wide elimination of greenhouse gas emissions in this state,~~
 12 ~~based on what is economically and technically feasible, as well as~~
 13 ~~what is reasonably achievable.~~

14 ~~(k) Identify environmental justice communities.~~

15 (2) A proceeding commenced under subsection (1) must be
 16 completed within 120 days, and is not a contested case under
 17 chapter 4 of the administrative procedures act of 1969, 1969 PA
 18 306, MCL 24.271 to 24.288. The determination of the modeling
 19 assumptions for integrated resource plans made under subsection (1)
 20 is not considered a final order for purposes of judicial review.
 21 The determinations made under subsection (1) are only subject to
 22 judicial review as part of the final commission order approving an
 23 integrated resource plan under this section.

24 (3) Not later than April 20, 2019, each electric utility whose
 25 rates are regulated by the commission shall file with the
 26 commission an integrated resource plan that provides a 5-year, 10-
 27 year, and 15-year projection of the utility's load obligations and
 28 a plan to meet those obligations, to meet the utility's
 29 requirements to provide generation reliability, including meeting



1 planning reserve margin and local clearing requirements determined
2 by the commission or the appropriate independent system operator,
3 and to meet all applicable state and federal reliability and
4 environmental regulations over the ensuing term of the plan. The
5 commission shall issue an order establishing filing requirements,
6 including application forms and instructions, and filing deadlines
7 for an integrated resource plan filed by an electric utility whose
8 rates are regulated by the commission. The electric utility's plan
9 may include alternative modeling scenarios and assumptions in
10 addition to those identified under subsection (1).

11 (4) For an electric utility with fewer than 1,000,000
12 customers in this state whose rates are regulated by the
13 commission, the commission may issue an order implementing separate
14 filing requirements, review criteria, and approval standards that
15 differ from those established under subsection (3). An electric
16 utility providing electric tariff service to customers both in this
17 state and in at least 1 other state may design its integrated
18 resource plan to cover all its customers on that multistate basis.
19 If an electric utility has filed a multistate integrated resource
20 plan that includes its service area in this state with the relevant
21 utility regulatory commission in another state in which it provides
22 tariff service to retail customers, the commission shall accept
23 that integrated resource plan filing for filing purposes in this
24 state. However, the commission may require supplemental information
25 if necessary as part of its evaluation and determination of whether
26 to approve the plan. ~~Upon~~ On request of an electric utility, the
27 commission may adjust the filing dates for a multistate integrated
28 resource plan filing in this state to place its review on the same
29 timeline as other relevant state reviews.



1 (5) An integrated resource plan must include all of the
2 following:

3 (a) A long-term forecast of the electric utility's sales and
4 peak demand under various reasonable scenarios.

5 (b) The type of generation technology proposed for a
6 generation facility contained in the plan and the proposed capacity
7 of the generation facility, including projected fuel costs under
8 various reasonable scenarios.

9 (c) Projected energy purchased or produced by the electric
10 utility from a renewable energy resource. ~~If the level of renewable~~
11 ~~energy purchased or produced is projected to drop over the planning~~
12 ~~periods set forth in subsection (3), the electric utility must~~
13 ~~demonstrate why the reduction is in the best interest of~~
14 ~~ratepayers.~~

15 (d) An analysis of how the electric utility's plan complies
16 ~~with the renewable energy plan requirements and goals of section 28~~
17 ~~of the clean and renewable energy and energy waste reduction act,~~
18 ~~2008 PA 295, MCL 460.1028, the clean energy requirements of section~~
19 ~~51 of the clean and renewable energy and energy waste reduction~~
20 ~~act, 2008 PA 295, MCL 460.1051, the energy waste reduction measures~~
21 ~~in section 77 of the clean and renewable energy and energy waste~~
22 ~~reduction act, 2008 PA 295, MCL 460.1077, and the energy storage~~
23 ~~target of section 101 of the clean and renewable energy and energy~~
24 ~~waste reduction act, 2008 PA 295, MCL 460.1101.~~

25 (e) Projected load management and demand response savings for
26 the electric utility and the projected costs for those programs.

27 (f) Projected energy and capacity purchased or produced by the
28 electric utility from a cogeneration resource.

29 (g) An analysis of potential new or upgraded electric



1 transmission options for the electric utility.

2 (h) Data regarding the utility's current generation portfolio,
3 including the age, capacity factor, licensing status, and remaining
4 estimated time of operation for each facility in the portfolio.

5 (i) Plans for meeting current and future capacity needs with
6 the cost estimates for all proposed construction and major
7 investments, including any transmission or distribution
8 infrastructure that would be required to support the proposed
9 construction or investment, and power purchase agreements.

10 (j) An analysis of the cost, capacity factor, and viability of
11 all reasonable options available to meet projected energy and
12 capacity needs, including, but not limited to, existing electric
13 generation facilities in this state.

14 (k) Projected rate ~~and affordability~~ impact for the periods
15 covered by the plan.

16 (l) How the utility will comply with all applicable state and
17 federal environmental regulations, laws, and rules, and the
18 projected costs of complying with those regulations, laws, and
19 rules.

20 (m) A forecast of the utility's peak demand and details
21 regarding the amount of peak demand reduction the utility expects
22 to achieve and the actions the utility proposes to take in order to
23 achieve that peak demand reduction.

24 (n) The projected long-term firm gas transportation contracts
25 or natural gas storage the electric utility will hold to provide an
26 adequate supply of natural gas to any new generation facility.

27 ~~(o) The projected long-term forecast of greenhouse gas~~
28 ~~emissions and other pollutants from power generated or purchased by~~
29 ~~the electric utility. The electric utility may include details on~~



~~the broader emissions impact of shifting to electrification of transportation, buildings, and industries.~~

~~(p) An environmental justice impact analysis that includes a review of the reasonably anticipated environmental justice impacts for any plan that includes the construction of a new natural gas-fired generation facility and an analysis of whether the facility complies with the requirements for clean energy systems established in the clean and renewable energy and energy waste reduction act, 2008 PA 295, MCL 460.1001 to 460.1211. If a plan proposes retiring or retaining 1 or more fossil fuel peaking plants, in an environmental justice community, a review of the reasonably anticipated environmental justice impacts for each generation facility.~~

(6) Before filing an integrated resource plan under this section, each electric utility whose rates are regulated by the commission shall issue a request for proposals to provide any new supply-side generation capacity resources needed to serve the utility's reasonably projected electric load, applicable planning reserve margin, and local clearing requirement for its customers in this state and customers the utility serves in other states during the initial 3-year planning period to be considered in each integrated resource plan to be filed under this section. An electric utility shall define qualifying performance standards, contract terms, technical competence, capability, reliability, creditworthiness, past performance, and other criteria that responses and respondents to the request for proposals must meet in order to be considered by the utility in its integrated resource plan to be filed under this section. Respondents to a request for proposals may request that certain proprietary information be



1 exempt from public disclosure as allowed by the commission. A
2 utility that issues a request for proposals under this subsection
3 shall use the resulting proposals to inform its integrated resource
4 plan filed under this section and include all of the submitted
5 proposals as attachments to its integrated resource plan filing
6 regardless of whether the proposals met the qualifying performance
7 standards, contract terms, technical competence, capability,
8 reliability, creditworthiness, past performance, or other criteria
9 specified for the utility's request for proposals under this
10 section. An existing supplier of electric generation capacity
11 currently producing at least 200 megawatts of firm electric
12 generation capacity resources located in the independent system
13 operator's zone in which the utility's load is served that seeks to
14 provide electric generation capacity resources to the utility may
15 submit a written proposal directly to the commission as an
16 alternative to any supply-side generation capacity resource
17 included in the electric utility's integrated resource plan
18 submitted under this section, and has standing to intervene in the
19 contested case proceeding conducted under this section. This
20 subsection does not require an entity that submits an alternative
21 under this subsection to submit an integrated resource plan. This
22 subsection does not limit the ability of any other person to submit
23 to the commission an alternative proposal to any supply-side
24 generation capacity resource included in the electric utility's
25 integrated resource plan submitted under this section and to
26 petition for and be granted leave to intervene in the contested
27 case proceeding conducted under this section under the rules of
28 practice and procedure of the commission. The commission shall only
29 consider an alternative proposal submitted under this subsection as



1 part of its approval process under subsection (8). The electric
2 utility submitting an integrated resource plan under this section
3 is not required to adopt any proposals submitted under this
4 subsection. To the extent practicable, each electric utility is
5 encouraged, but not required, to partner with other electric
6 providers in the same local resource zone as the utility's load is
7 served in the development of any new supply-side generation
8 capacity resources included as part of its integrated resource
9 plan.

10 (7) Not later than 300 days after an electric utility files an
11 integrated resource plan under this section, the commission shall
12 state if the commission has any recommended changes, and if so,
13 describe them in sufficient detail to allow their incorporation in
14 the integrated resource plan. If the commission does not recommend
15 changes, it shall issue a final, appealable order approving or
16 denying the plan filed by the electric utility. If the commission
17 recommends changes, the commission shall set a schedule allowing
18 parties at least 15 days after that recommendation to file comments
19 regarding those recommendations, and allowing the electric utility
20 at least 30 days to consider the recommended changes and submit a
21 revised integrated resource plan that incorporates 1 or more of the
22 recommended changes. If the electric utility submits a revised
23 integrated resource plan under this section, the commission shall
24 issue a final, appealable order approving the plan as revised by
25 the electric utility or denying the plan. The commission shall
26 issue a final, appealable order no later than 360 days after an
27 electric utility files an integrated resource plan under this
28 section. Up to 150 days after an electric utility makes its initial
29 filing, the electric utility may file to update its cost estimates



1 if those cost estimates have materially changed. A utility shall
 2 not modify any other aspect of the initial filing unless the
 3 utility withdraws and refiles the application. A utility's filing
 4 updating its cost estimates does not extend the period for the
 5 commission to issue an order approving or denying the integrated
 6 resource plan. The following are applicable to an integrated
 7 resource plan filed under this section:

8 (a) The commission shall do all of the following:

9 (i) Review the integrated resource plan in a contested case
 10 proceeding conducted in accordance with chapter 4 of the
 11 administrative procedures act of 1969, 1969 PA 306, MCL 24.271 to
 12 24.288.

13 (ii) Allow intervention by interested persons including
 14 electric customers of the utility, respondents to the utility's
 15 request for proposals under this section, or other parties approved
 16 by the commission.

17 (iii) Request an advisory opinion from the department of
 18 environment, Great Lakes, and energy regarding ~~all of the~~
 19 ~~following:~~ **whether the integrated resource plan can reasonably be**
 20 **expected to achieve compliance with the regulations, laws, or rules**
 21 **identified in subsection (1).**

22 ~~(A) Whether any potential decrease in emissions of sulfur~~
 23 ~~dioxide, oxides of nitrogen, mercury, and particulate matter would~~
 24 ~~reasonably be expected to result if the integrated resource plan~~
 25 ~~proposed by the electric utility under subsection (3) was approved.~~

26 ~~(B) Whether the integrated resource plan can reasonably be~~
 27 ~~expected to achieve compliance with the regulations, laws, or rules~~
 28 ~~identified in subsection (1).~~

29 ~~(C) The potential impacts of proposed energy generation~~



~~resources and of any prudent and feasible alternatives identified by the department on whether the plan makes adequate progress toward achieving the clean energy standard established in section 51 of the clean and renewable energy and energy waste reduction act, 2008 PA 295, MCL 460.1051.~~

~~(D) The potential impacts of the plan and of any prudent and feasible alternatives identified by the department on whether the plan makes adequate progress toward the economy wide virtual elimination of greenhouse gas emissions in this state by 2050.~~

~~(E) Whether the plan in comparison to any prudent and feasible alternatives makes adequate progress toward the elimination of adverse effects on human health due to power generation in this state.~~

~~(F) Whether the plan in comparison to any prudent and feasible alternatives adequately reduces harms to the health, safety, and welfare of individuals in environmental justice communities.~~

(b) The commission may do 1 or both of the following:

(i) Take official notice of the opinion issued by the department of environment, Great Lakes, and energy under this subsection pursuant to R 792.10428 of the Michigan Administrative Code. Information submitted by the department of environment, Great Lakes, and energy under this subsection is advisory and is not binding on future determinations by the department of environment, Great Lakes, and energy or the commission in any proceeding or permitting process. This section does not prevent an electric utility from applying for, or receiving, any necessary permits from the department of environment, Great Lakes, and energy.

(ii) Invite other state agencies to provide testimony regarding other relevant regulatory requirements related to the integrated



1 resource plan. The commission shall permit reasonable discovery
 2 after an integrated resource plan is filed and during the hearing
 3 in order to assist parties and interested persons in obtaining
 4 evidence concerning the integrated resource plan, including, but
 5 not limited to, the reasonableness and prudence of the plan and
 6 alternatives to the plan raised by intervening parties.

7 (8) The commission shall approve the integrated resource plan
 8 under subsection (7) if the commission determines all of the
 9 following:

10 (a) The proposed integrated resource plan represents the most
 11 reasonable and prudent means of meeting the electric utility's
 12 energy and capacity needs. To determine whether the integrated
 13 resource plan is the most reasonable and prudent means of meeting
 14 energy and capacity needs, the commission shall consider whether
 15 the plan ~~appropriately balances all of the following~~

16 ~~factors:~~ **prioritizes reliability and affordability while minimizing**
 17 **the net cost to ratepayers. The commission may consider other**
 18 **factors only to the extent that those factors do not materially**
 19 **compromise reliability or impose higher total costs on ratepayers.**
 20 **In making a determination under this subdivision, the commission**
 21 **shall evaluate all of the following:**

22 (i) Resource adequacy and capacity to serve anticipated peak
 23 electric load, applicable planning reserve margin, and local
 24 clearing requirement.

25 (ii) Compliance with applicable state and federal environmental
 26 regulations.

27 (iii) ~~Competitive pricing.~~ **Projected costs. In evaluating**
 28 **projected costs, the commission shall consider whether a generation**
 29 **resource or resource portfolio is capable of providing electricity**



1 at the lowest net system cost to ratepayers over the expected
2 useful life of the resource. The commission's determination of cost
3 is subject to all of the following:

4 (A) The commission shall deduct the projected value of any
5 federal tax incentives, carbon reduction credits, or production
6 credits that directly reduce the revenue requirement charged to
7 ratepayers. This sub-subparagraph applies only to a resource that
8 constitutes a dispatchable resource capable of providing firm
9 capacity during resource adequacy hours as determined by the
10 Midcontinent Independent System Operator or the applicable regional
11 transmission organization. As used in this sub-subparagraph, "firm
12 capacity" means capacity that is accredited to meet the utility's
13 planning reserve margin requirement during periods of highest loss
14 of load risk.

15 (B) For a resource that is not a dispatchable resource
16 described in sub-subparagraph (A), the commission shall add the
17 associated integration costs required to maintain system
18 reliability. The commission shall calculate associated integration
19 costs based on the cost of new entry for a comparable firm,
20 dispatchable resource required to provide equivalent reliability
21 services. As used in this sub-subparagraph, "associated integration
22 costs" includes, but is not limited to, the cost of firming
23 capacity, transmission upgrades, and ancillary services required to
24 manage resource intermittency.

25 (C) The determination of cost must exclude theoretical costs
26 based on social policy models, social costs of carbon not
27 established by state statute, or other imputed cost mechanisms that
28 do not reflect actual monetary costs incurred by the electric
29 utility.



1 (D) The commission shall base its determination on
2 transparent, consistent, and economically sound modeling
3 assumptions that reflect actual system needs, including the cost of
4 ensuring reliability during periods of peak demand and grid stress.
5 In evaluating projected costs, the commission shall give
6 appropriate weight to resources that provide dispatchable power and
7 contribute to long-term rate stability.

8 (iv) Reliability. In evaluating reliability, the commission
9 shall consider operational availability, dispatchability, fuel
10 security, and performance under a range of operating conditions. As
11 used in this subparagraph, "reliability" means the capacity of a
12 generation resource or portfolio to deliver uninterrupted
13 electricity to meet system demand, including during peak usage,
14 severe weather, or system stress.

15 (v) Commodity price risks. In evaluating commodity price
16 risks, the commission shall prioritize long-term rate stability for
17 customers. The commission shall conduct a sensitivity analysis that
18 complies with both of the following:

19 (A) Except as provided in sub-subparagraph (B), the commission
20 shall apply a risk premium to any generation resource dependent on
21 a fuel source that has demonstrated historical price volatility
22 exceeding 15% over any 5-year period in the preceding 20 years.

23 (B) The commission shall waive the volatility risk premium
24 required under sub-subparagraph (A) for a resource if both of the
25 following occur:

26 (I) The electric utility secures a long-term firm fuel
27 transportation contract or fixed-price fuel hedging instrument for
28 the resource for a period of not less than 5 years, the resource is
29 capable of maintaining a minimum of 18 months of on-site fuel



1 supply, or, for a natural gas resource, the electric utility has
 2 access to firm underground storage capacity sufficient to maintain
 3 continuous full-load output for a period of not less than 30 days.

4 (II) The commission determines that the projected total cost
 5 of the firm fuel contract, hedging instrument, or storage agreement
 6 is lower than the sum of the projected market cost of equivalent
 7 spot market procurement and the volatility risk premium required
 8 under sub-subparagraph (A).

9 (vi) Diversity of generation supply. In evaluating diversity of
 10 generation supply, the commission shall consider whether the
 11 proposed resource portfolio enhances overall system reliability,
 12 affordability, and fuel security. The commission shall not favor or
 13 disfavor any particular energy resource or technology solely on the
 14 basis of environmental attributes or policy goals not established
 15 by statute. A resource shall not be excluded from consideration for
 16 purposes of diversity if it is cost-effective, dispatchable, or
 17 contributes to grid stability. As used in this subparagraph,
 18 "diversity of generation supply" means the inclusion of a balanced
 19 mix of electricity generation resources utilizing different fuel
 20 types, technologies, and operational characteristics for the
 21 purpose of reducing reliance on any single energy source or supply
 22 chain.

23 (vii) Whether the proposed levels of peak load reduction ~~and~~
 24 ~~energy waste reduction~~ are reasonable and cost-effective. In
 25 evaluating whether the proposed levels of peak load reduction are
 26 reasonable and cost-effective, the commission shall consider the
 27 expected impact of those measures on system capacity needs,
 28 resource adequacy, and overall electric system performance, the
 29 total cost of implementing the measures compared to the avoided



costs of energy and capacity, and the effect of the measures on customer bills and rate stability. As used in this subparagraph, "cost-effective" means that the projected benefits of the proposed measures exceed their total costs over the expected duration of the program, and that the measures can be implemented in a manner that does not compromise electric system reliability or materially increase costs to ratepayers.

(viii) Affordability. In evaluating affordability, the commission shall consider capital, fuel, operation and maintenance, and decommissioning costs, levelized cost of energy or capacity, projected impacts on customer bills and overall rate stability, and long-term cost escalations, contingencies, and revenue requirements. As used in this subparagraph, "affordability" means the capacity of a generation resource or portfolio to deliver electricity at a cost that minimizes the total financial burden on ratepayers over the resource's expected operational life.

~~(ix) Overall cost-effectiveness in providing utility service.~~

(b) To the extent practicable, the construction or investment in a new or existing capacity resource in this state is completed using a workforce composed of residents of this state as determined by the commission. This subdivision does not apply to a capacity resource that is located in a county that lies on the border with another state.

~~(c) The construction and construction maintenance of new or the rehabilitation of existing capacity resources in this state includes using an apprenticeship program registered and certified with the United States Secretary of Labor under the national apprenticeship act, 29 USC 50 to 50c, and the workers employed for the construction or construction maintenance of the energy facility~~



~~are paid a minimum wage standard not less than the wage and fringe benefit rates prevailing in the locality in which the work is to be performed as determined under 2023 PA 10, MCL 408.1101 to 408.1126, or 40 USC 3141 to 3148, whichever provides the higher wage and fringe benefit rates, and, to the extent permitted by law, the entities performing the construction or construction maintenance work shall enter into a project labor agreement or operate under a collective bargaining agreement for the work to be performed. This subdivision does not apply to an independent power producer supplying power under a contract or agreement entered into in accordance with the public utility regulatory policies act of 1978, Public Law 95-617, as of the effective date of the amendatory act that added this subdivision. As used in this subdivision, "project labor agreement" means a prehire collective bargaining agreement with 1 or more labor organizations that establishes the terms and conditions of employment for a specific construction project and does all of the following:~~

~~(i) Binds all contractors and subcontractors on the construction project through the inclusion of appropriate specifications in all relevant solicitation provisions and contract documents.~~

~~(ii) Allows all contractors and subcontractors on the construction project to compete for contracts and subcontracts without regard to whether they are otherwise parties to collective bargaining agreements.~~

~~(iii) Contains guarantees against strikes, lockouts, and similar job disruptions.~~

~~(iv) Sets forth effective, prompt, and mutually binding procedures for resolving labor disputes arising during the term of~~



1 ~~the project labor agreement.~~

2 ~~(v) Provides other mechanisms for labor-management cooperation~~
 3 ~~on matters of mutual interest and concern, including productivity,~~
 4 ~~quality of work, safety, and health.~~

5 ~~(vi) Complies with all state and federal laws, rules, and~~
 6 ~~regulations.~~

7 **(c)** ~~(d) The plan is consistent with the renewable energy plan~~
 8 ~~requirements and goals of section 28 of the clean and renewable~~
 9 ~~energy and energy waste reduction act, 2008 PA 295, MCL 460.1028,~~
 10 ~~the clean energy requirements of section 51 of the clean and~~
 11 ~~renewable energy and energy waste reduction act, 2008 PA 295, MCL~~
 12 ~~460.1051, the energy waste reduction measures in section 77 of the~~
 13 ~~clean and renewable energy and energy waste reduction act, 2008 PA~~
 14 ~~295, MCL 460.1077, and the energy storage target of section 101 of~~
 15 ~~the clean and renewable energy and energy waste reduction act, 2008~~
 16 ~~PA 295, MCL 460.1101.~~

17 ~~(e) The plan promotes environmental quality and public health~~
 18 ~~and reasonably mitigates adverse effects on human health due to~~
 19 ~~power generation, with a priority on mitigating impacts and~~
 20 ~~prioritizing benefits to communities disproportionately impacted by~~
 21 ~~pollution and other environmental harms.~~

22 **(d)** ~~(f) The plan meets the requirements of subsection (5).~~

23 (9) If the commission denies a utility's integrated resource
 24 plan, the utility, **within not later than** 60 days after the date of
 25 the final order denying the integrated resource plan, may submit
 26 revisions to the integrated resource plan to the commission for
 27 approval. The commission shall commence a new contested case
 28 hearing under chapter 4 of the administrative procedures act of
 29 1969, 1969 PA 306, MCL 24.271 to 24.288. Not later than 90 days



1 after the date that the utility submits the revised integrated
2 resource plan to the commission under this subsection, the
3 commission shall issue an order approving or denying, with
4 recommendations, the revised integrated resource plan if the
5 revisions are not substantial or inconsistent with the original
6 integrated resource plan filed under this section. If the revisions
7 are substantial or inconsistent with the original integrated
8 resource plan, the commission has up to 150 days to issue an order
9 approving or denying, with recommendations, the revised integrated
10 resource plan.

11 (10) If the commission denies an electric utility's integrated
12 resource plan, the electric utility may proceed with a proposed
13 construction, purchase, investment, or power purchase agreement
14 contained in the integrated resource plan without the assurances
15 granted under this section.

16 (11) In approving an integrated resource plan under this
17 section, the commission shall specify the costs approved for the
18 construction of or significant investment in an electric generation
19 or energy storage facility, the purchase of an existing electric
20 generation or energy storage facility, the purchase of power under
21 the terms of the power purchase or energy storage agreement, or
22 other investments or resources used to meet energy and capacity
23 needs that are included in the approved integrated resource plan.
24 The costs for specifically identified investments, including the
25 costs for facilities under subsection (12), included in an approved
26 integrated resource plan that are commenced within 3 years after
27 the commission's order approving the initial plan, amended plan, or
28 plan review are considered reasonable and prudent for cost recovery
29 purposes. **Any investment included in an approved integrated**



1 **resource plan that is directly related to the hardening or**
2 **modernization of the electric distribution or transmission system**
3 **to improve reliability and resilience is presumed to be reasonable**
4 **and prudent for cost recovery purposes if the actual costs incurred**
5 **are consistent with the approved plan or have been otherwise**
6 **approved by the commission.**

7 (12) Except as otherwise provided in subsection (13), for a
8 new electric generation or energy storage facility approved in an
9 integrated resource plan that is to be owned by the electric
10 utility and that is commenced within 3 years after the commission's
11 order approving the plan, the commission shall finalize the
12 approved costs for the electric generation or energy storage
13 facility only after the utility has done all of the following and
14 filed the results, analysis, and recommendations with the
15 commission:

16 (a) Implemented a competitive bidding process for all major
17 engineering, procurement, and construction contracts associated
18 with the construction of the electric generation or energy storage
19 facility.

20 (b) Implemented a competitive bidding process that allows
21 third parties to submit firm and binding bids for the construction
22 of an electric generation or energy storage facility on behalf of
23 the utility that would meet all of the technical, commercial, and
24 other specifications required by the utility for the **electric**
25 generation or energy storage facility, such that ownership of the
26 electric generation or energy storage facility vests with the
27 utility no later than the date the electric generation or energy
28 storage facility becomes commercially available.

29 (c) Demonstrated to the commission that the finalized costs



1 for the new electric generation or energy storage facility are not
 2 significantly higher than the initially approved costs under
 3 subsection (11). If the finalized costs are found to be
 4 significantly higher than the initially approved costs, the
 5 commission shall review and approve the proposed costs if the
 6 commission determines those costs are reasonable and prudent.

7 (13) If the capacity resource under subsection (12) is for the
 8 construction of an electric generation facility of 225 megawatts or
 9 more or for the construction of an additional generating unit or
 10 units totaling 225 megawatts or more at an existing electric
 11 generation facility, the utility shall submit an application to the
 12 commission seeking a certificate of necessity under section 6s.

13 (14) An electric utility shall annually, or more frequently if
 14 required by the commission, file reports to the commission
 15 regarding the status of any projects included in the initial 3-year
 16 period of an integrated resource plan approved under subsection
 17 (7).

18 ~~(15) If an electric provider whose rates are regulated by the~~
 19 ~~commission enters into a purchase power agreement for renewable~~
 20 ~~energy resources or a third-party contract for energy storage~~
 21 ~~systems or clean energy systems. For power purchase agreements that~~
 22 **a utility enters into after April 20, 2017** with an entity that is
 23 not affiliated with that utility, the commission shall authorize a
 24 financial incentive for that utility calculated as the product of
 25 contract payments in that year multiplied by the electric
 26 provider's pretax weighted average cost of permanent capital
 27 comprised of long-term debt obligations and equity of the electric
 28 provider's total capital structure as determined by the
 29 commission's final order in the electric provider's most recent



1 general rate case. The pretax weighted average cost of permanent
 2 capital used to calculate the financial incentive must not be fixed
 3 throughout the entire term of the contract at the pretax weighted
 4 average cost of capital applicable in the first year and must be
 5 updated based on the commission's final order in each succeeding
 6 general rate case for the electric provider. The financial
 7 incentive applies to each contract described in this subsection
 8 from the date the contract is executed for the entire term of the
 9 contract. ~~This subsection applies to any contract entered into~~
 10 ~~after June 30, 2024.~~

11 (16) Notwithstanding any other provision of law, an order by
 12 the commission approving an integrated resource plan may be
 13 reviewed by the court of appeals ~~upon~~ **on** a filing by a party to the
 14 commission proceeding ~~within~~ **not later than** 30 days after the order
 15 is issued. All appeals of the order must be heard and determined as
 16 expeditiously as possible with lawful precedence over other
 17 matters. Review on appeal is based solely on the record before the
 18 commission and briefs to the court and is limited to whether the
 19 order conforms to the constitution and laws of this state and the
 20 United States and is within the authority of the commission under
 21 this act.

22 (17) The commission shall include in an electric utility's
 23 retail rates all reasonable and prudent costs specified under
 24 subsections (11) and (12) that have been incurred to implement an
 25 integrated resource plan approved by the commission. The commission
 26 shall not disallow recovery of costs an electric utility incurs in
 27 implementing an approved integrated resource plan, if the costs do
 28 not exceed the costs approved by the commission under subsections
 29 (11) and (12). If the actual costs incurred by the electric utility



1 exceed the costs approved by the commission, the electric utility
2 has the burden of proving by a preponderance of the evidence that
3 the costs are reasonable and prudent. The portion of the cost of a
4 plant, facility, power purchase agreement, or other investment in a
5 resource that meets a demonstrated need for capacity that exceeds
6 the cost approved by the commission is presumed to have been
7 incurred due to a lack of prudence. The commission may include any
8 or all of the portion of the cost in excess of the cost approved by
9 the commission if the commission finds by a preponderance of the
10 evidence that the costs are reasonable and prudent. The commission
11 shall disallow costs the commission finds have been incurred as the
12 result of fraud, concealment, gross mismanagement, or lack of
13 quality controls amounting to gross mismanagement. The commission
14 shall also require refunds with interest to ratepayers of any of
15 these costs already recovered through the electric utility's rates
16 and charges. If the assumptions underlying an approved integrated
17 resource plan materially change, or if the commission believes it
18 is unlikely that a project or program will become commercially
19 operational, an electric utility may request, or the commission on
20 its own motion may initiate, a proceeding to review whether it is
21 reasonable and prudent to complete an unfinished project or program
22 included in an approved integrated resource plan. If the commission
23 finds that completion of the project or program is no longer
24 reasonable and prudent, the commission may modify or cancel
25 approval of the project or program and unincurred costs in the
26 electric utility's integrated resource plan. Except for costs the
27 commission finds an electric utility has incurred as the result of
28 fraud, concealment, gross mismanagement, or lack of quality
29 controls amounting to gross mismanagement, if commission approval



1 is modified or canceled, the commission shall not disallow
2 reasonable and prudent costs already incurred or committed to by
3 contract by an electric utility. Once the commission finds that
4 completion of the project or program is no longer reasonable and
5 prudent, the commission may limit future cost recovery to those
6 costs that could not be reasonably avoided.

7 (18) The commission may allow financing interest cost recovery
8 in an electric utility's base rates on construction work in
9 progress for capital improvements approved under this section prior
10 to the assets' being considered used and useful. Regardless of
11 whether or not the commission authorizes base rate treatment for
12 construction work in progress financing interest expense, an
13 electric utility may recognize, accrue, and defer the allowance for
14 funds used during construction.

15 (19) An electric utility may seek to amend an approved
16 integrated resource plan. Except as otherwise provided under this
17 subsection, the commission shall consider the amendments under the
18 same process and standards that govern the review and approval of a
19 revised integrated resource plan under subsection (9). The
20 commission may order an electric utility that seeks to amend an
21 approved integrated resource plan under this subsection to file a
22 plan review under subsection (21).

23 (20) An electric utility shall file an application for review
24 of its integrated resource plan not later than 5 years after the
25 effective date of the most recent commission order approving a
26 plan, a plan amendment, or a plan review. The commission shall
27 consider a plan review under the same process and standards
28 established in this section for review and approval of an
29 integrated resource plan. A commission order approving a plan



1 review has the same effect as an order approving an integrated
2 resource plan.

3 (21) The commission may, on its own motion or at the request
4 of the electric utility, order an electric utility to file a plan
5 review. The department of environment, Great Lakes, and energy may
6 request the commission to order a plan review to address material
7 changes in environmental regulations and requirements that occur
8 after the commission's approval of an integrated resource plan. An
9 electric utility must file a plan review ~~within~~ **not later than** 270
10 days after the commission orders the utility to file a plan review.

11 (22) As used in this section, "long-term firm gas
12 transportation" means a binding agreement entered into between the
13 electric utility and a natural gas transmission provider for a set
14 period of time to provide firm delivery of natural gas to an
15 electric generation facility.

16 Enacting section 1. Section 6aa of 1939 PA 3, MCL 460.6aa, is
17 repealed.

18 Enacting section 2. This amendatory act does not take effect
19 unless House Bill No. 5711 of the 103rd Legislature is enacted into
20 law.